CASE STUDY PROJECT

Goldman Sachs and the 1MDB Scandal

A real-life case of AML, KYC and sanctions lapses that led to heavy fines on a bank

Subject: Anti-Money Laundering (AML) and Know Your Customer (KYC)

Prepared by: Jahnavi, BBA in Business Analytics

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1. Introduction

This project looks at one of the biggest banking scandals of the last decade: the role of Goldman Sachs in the 1MDB case in Malaysia. I chose it because it shows, in a real situation, what happens when a bank's anti-money laundering (AML) and know-your-customer (KYC) checks do not work.

Objectives

- Explain what happened, in simple terms.
- Identify who was involved, when it happened and how much money was involved.
- Understand the AML and KYC failures and the red flags that were missed.
- List the fines and penalties.
- Learn what banks should do differently.

2. Case at a Glance

> **The short version**
> Between 2012 and 2013, Goldman Sachs helped Malaysia's state fund, 1MDB, raise $6.5 billion through three bond deals. Billions of that money were stolen, and at least $1 billion was used to bribe officials in Malaysia and Abu Dhabi. Two Goldman bankers helped hide it, and the bank's checks did not stop it. Goldman later admitted wrongdoing and paid billions in settlements.

$6.5bn	**~$600m**	**$2.7bn+**	**$1bn+**
raised for 1MDB	fees to Goldman	allegedly stolen	used for bribes

3. Parties Involved

Party	Role in the case
Goldman Sachs	The bank that arranged and sold the three bonds
1MDB	Malaysia's state development fund. It was the borrower and the one that was looted
Najib Razak	Malaysia's prime minister at the time, closely linked to the fund
Jho Low	Businessman described as a central figure. He had no official role, and is still a fugitive
Tim Leissner	Goldman's former Southeast Asia chairman. Pleaded guilty in 2018
Roger Ng	Former Goldman banker. Convicted in the US in 2022
Regulators	Authorities in the US, UK, Singapore and Malaysia

4. When It Happened

When	What happened
2012–2013	Goldman arranges three bond deals for 1MDB, raising $6.5bn
2018	Leissner pleads guilty; Malaysia files criminal charges against Goldman units
July 2020	Goldman agrees a $3.9bn settlement with Malaysia
October 2020	Global settlement of about $2.9bn+ with authorities in the US, UK, Singapore and others
April 2022	Roger Ng is convicted in the US
March 2023	Ng is sentenced to 10 years in prison
October 2023	Goldman starts arbitration against Malaysia over the $1.4bn asset guarantee

5. What the Issue Is

1MDB was meant to help Malaysia's economy. Instead, money raised for it was taken out through a web of companies and accounts, and used for bribes and personal spending. Goldman earned large fees for arranging the bonds. Prosecutors said that some of its bankers, led by Leissner and Ng, took part in the scheme and kept the truth from the bank's compliance team.

From an AML point of view, the problem was not only the crime itself. It was that the bank's checks on who was involved, where the money went and whether the deals made sense did not stop it.

6. Amount Involved

Item	Amount
Total raised through three bond deals	$6.5 billion
Fees earned by Goldman	About $600 million (roughly 9% of the money raised)
Allegedly taken from the bond money	At least $2.7 billion
Used to bribe officials in Malaysia and Abu Dhabi	At least $1 billion

7. AML, Sanctions and KYC Lapses

KYC asks a simple question: who are we really dealing with, and where is the money going? In this case several answers were never properly checked.

1. **Real people behind the deal were unclear.** Jho Low had no official role, yet he was deeply involved in the deals. A proper check looks past the named client to everyone who has influence or benefits.
2. **Fees were far too high.** About $600m on $6.5bn is far above normal. Fees that high should make a bank ask why.

3. **Money moved to places that made no sense.** Bond money went through offshore shell companies and accounts. This needs a clear explanation when it comes from a government fund.
4. **High-risk parties were treated as routine.** A state fund and senior officials are politically exposed persons (PEPs). They need extra checks and senior approval, but the deals went ahead like normal business.
5. **Insiders went around the control teams.** Leissner and Ng kept the full picture from compliance. The system depended on people being honest.

> **Note on terrorism financing**
> This is not a terrorism financing case. It is a bribery and money laundering case. But the weak spots, such as hidden owners, shell companies and unusual money flows, are the same ones that terrorism financing checks rely on. That is why the lessons apply there too.

8. Red Flags Identified

Red flag	Why it matters
Fees far above the normal level	High fees can pay for hidden costs or secret payments
A middleman with no official role	Hides who really controls the deal
Payments to government officials	Possible bribery
Money sent to offshore shell companies	Hides where the money ends up
Staff getting around compliance	Controls fail when people avoid them
Government fund and senior officials involved	High-risk customers need extra checks

9. Fines, Penalties and Measures

Who	What happened
Goldman, to Malaysia (July 2020)	$3.9bn: $2.5bn in cash plus a guarantee that at least $1.4bn of assets would be recovered. Malaysia dropped criminal charges
Goldman, global settlement (October 2020)	About $2.9bn+ in total, including a record penalty under the US anti-bribery law (FCPA). Deferred prosecution agreement. Goldman admitted wrongdoing
Tim Leissner	Pleaded guilty. Ordered to pay $43.7m. Banned for life in Singapore
Roger Ng	10 years in prison. Banned for life in Singapore
David Solomon, Goldman CEO	Took a pay cut for 2020 because of the scandal

10. Lessons Learned

1. **Know who is behind a deal.** Look past the client name to the people who really benefit.
2. **Treat high-risk deals differently.** Check more and get senior approval for government and PEP deals.
3. **Question odd fees and money flows.** If something looks strange, ask why before going ahead.
4. **Keep compliance independent.** Nobody should be able to go around the control teams.
5. **Culture matters.** Winning business must never come before the rules.

11. My Recommendations

These are my own ideas on how a bank could reduce this kind of risk.

- Flag any deal where fees are far above the usual range, and ask for a written reason.
- Name a person who confirms every middleman on a deal and why they are there.
- Automatically escalate payments from a government fund to an offshore company.
- Let compliance stop a deal without needing the deal team's approval.

12. Conclusion

The 1MDB case shows that good rules on paper are not enough. Goldman had KYC and compliance processes, but they were bypassed by people inside the bank, and warning signs were missed. The result was billions in penalties, prison sentences and serious damage to the bank's reputation. For anyone working in banking, analytics or reporting, the lesson is to question what looks unusual and to make sure checks are really followed.

13. Simple Glossary

Term	Meaning
AML	Anti-money laundering: rules to stop criminals hiding where money came from
KYC	Know your customer: checking who a customer really is and what they are doing
PEP	Politically exposed person: someone in a senior public role, with higher risk of bribery
FCPA	Foreign Corrupt Practices Act: a US law that bans bribing foreign officials
Deferred prosecution agreement	A deal where prosecutors pause charges if the company pays and follows conditions
Shell company	A company that mostly exists on paper and may hide who owns it

14. References

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